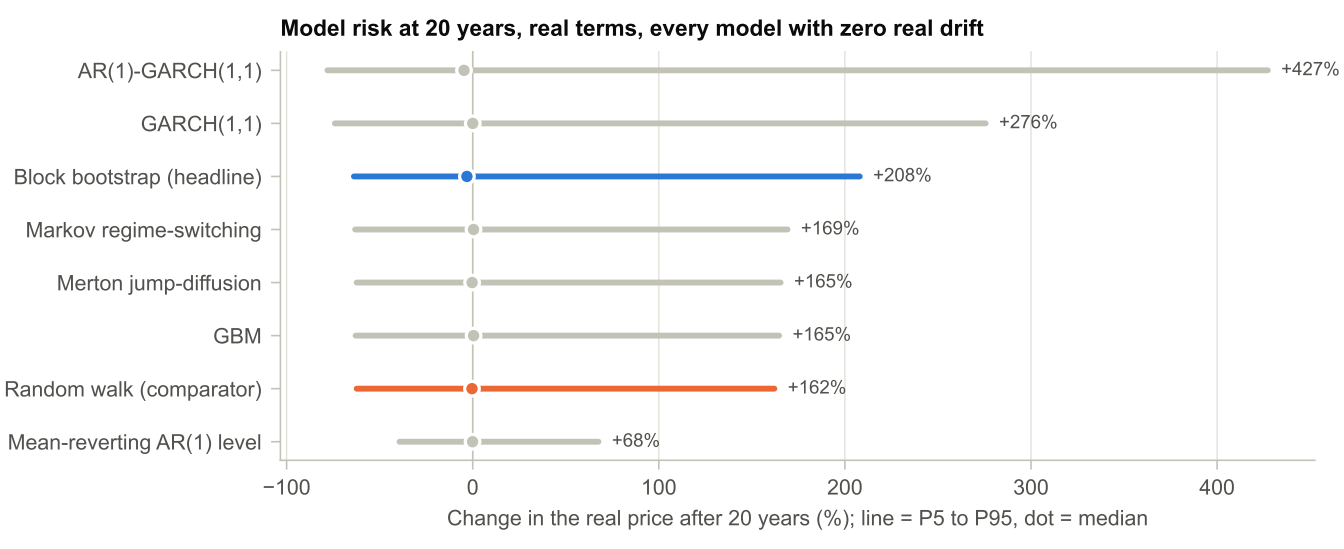
Model risk at 20 years, real terms, every model with zero real drift
AR(1)-GARCH(1,1)
GARCH(1,1)
Block bootstrap (headline)
Markov regime-switching
Merton jump-diffusion
GBM
Random walk (comparator)
Mean-reverting AR(1) level
+427%
+276%
+208%
+169%
+165%
+165%
+162%
+68%
−100
0
100
200
300
400
Change in the real price after 20 years (%); line = P5 to P95, dot = median